

2024 Commission Payments - Revised 02/02/2024

For specific compensation amounts, please reference the Medicare Plan Amendment delivered to you after completing the required Medicare curriculum. The following tables are to provide you with examples of how the compensation distribution models work.

MAPD Commission Payments

PAYMENT RATES	THE DATE THE PLAN IS EFFECTIVE											
	Jan 1	Feb 1	Mar 1	April 1	May 1	June 1	July 1	Aug 1	Sept 1	Oct 1	Nov 1	Dec 1
Base or Renewal Rate	\$306.00	\$280.50	\$255.00	\$229.50	\$204.00	\$178.50	\$153.00	\$127.50	\$102.00	\$76.50	\$51.00	\$25.50
Initial Sale Rate	\$305.00	\$330.50	\$356.00	\$381.50	\$407.00	\$432.50	\$458.00	\$483.50	\$509.00	\$534.50	\$560.00	\$585.50
Initial Year Total	\$611.00	\$611.00	\$611.00	\$611.00	\$611.00	\$611.00	\$611.00	\$611.00	\$611.00	\$611.00	\$611.00	\$611.00

RENEWAL YEAR EXAMPLE:

A client renews their MAPD plan. The plan year is Jan. 1 to Dec. 31, 2024. The producer is paid a renewal rate of **\$306.00** in one lump sum, *primarily* on the commission statement ending Jan. 31, 2025, which is delivered mid-February. Note that plans new to us, but not new to CMS, are paid at the renewal rate. For example, a client enrolls in a MAPD plan effective May 1, 2024. Upon confirmation from CMS that the client is enrolled but not “new” to Medicare, the producer is paid a prorated base/renewal rate of **\$204.00**.

INITIAL YEAR EXAMPLE:

A client enrolls in a MAPD plan that takes effect May 1, 2024. Upon confirmation from CMS that the subscriber is enrolled, the producer is paid a prorated base rate of **\$204.00**. Once CMS confirms the policy is an initial year sale, the producer is paid the initial sale rate of **\$407.00**. The initial sale rate is paid on the commission statement 30 days after receiving the first month’s premium (if applicable) or 30 days after the effective date. The total initial year commission is **\$611.00**.

PDP Commission Payments

PAYMENT RATES	THE DATE THE PLAN IS EFFECTIVE											
	Jan 1	Feb 1	Mar 1	April 1	May 1	June 1	July 1	Aug 1	Sept 1	Oct 1	Nov 1	Dec 1
Base or Renewal Rate	\$50.00	\$45.87	\$41.70	\$37.53	\$33.36	\$29.19	\$25.02	\$20.85	\$16.68	\$12.51	\$8.34	\$4.17
Initial Sale Rate	\$50.00	\$54.13	\$58.30	\$62.47	\$66.64	\$70.81	\$74.98	\$79.15	\$83.32	\$87.49	\$91.66	\$95.83
Initial Year Total	\$100.00	\$100.00	\$100.00	\$100.00	\$100.00	\$100.00	\$100.00	\$100.00	\$100.00	\$100.00	\$100.00	\$100.00

RENEWAL YEAR EXAMPLE:

A client renews their PDP plan. The plan year is Jan. 1 to Dec. 31, 2024. The producer is paid a renewal rate of **\$50.00** in one lump sum, *primarily* on the commission statement ending Jan. 31, 2025, which is delivered mid-February. Note that plans new to us, but not new to CMS, are paid at the renewal rate. For example, a client enrolls in a PDP plan effective May 1, 2024. Upon confirmation from CMS that the client is enrolled but not “new” to Medicare, the producer is paid a prorated base/renewal rate of **\$33.36**.

INITIAL YEAR EXAMPLE:

A client enrolls in a PDP plan that takes effect May 1, 2024. Upon confirmation from CMS that the subscriber is enrolled, the producer is paid a prorated base rate of **\$33.36**. Once CMS confirms the policy is an initial year sale, the producer is paid the initial sale rate of **\$66.64**. The initial sale rate is paid on the commission statement 30 days after receiving the first month’s premium (if applicable) or 30 days after the effective date. The total initial year commission is **\$100.00**.

Disenrollment Adjustments

Because commissions are calculated for either the remaining or entire plan year, and are paid up front, adjustments are made if members disenroll or policies terminate before the end of the year. Recoupments are calculated based on the number of months the subscribers’ policies were active. Commissions for rapid disenrollment (policies that terminate within 3 months of the effective date) will be recouped in full in accordance with CMS rules.